A Monthly Momentum Strategy for Indian Equities

Rules-based · 10 stocks · rebalanced monthly

What it does

Once a month it buys ten large, actively traded Indian stocks in equal amounts — 10% of the money in each. It holds them for roughly a month, then reviews and replaces whichever no longer qualify. Every decision is made by a fixed set of rules. Nobody picks favourites, and no view is taken on the market's direction.

How the ten are chosen

The strategy looks only at stocks with listed futures — about 200 of India's most liquid companies. It ranks them on three measurable things:

How much the share price has been moving recently (half the weight). Stocks that have been active tend to keep moving, and the strategy is trying to catch that movement.

Whether traders are carrying their positions forward into next month rather than closing them (a third of the weight). This is a rough read on whether informed money is staying involved.

What the futures market is charging to hold the stock (the rest). A premium suggests demand to stay long.

No more than three of the ten may come from the same industry, so a single sector cannot sink the portfolio.

When it sells

Each position has a 5% stop-loss placed with the broker, so a losing trade is cut automatically. Profits are booked at 40%. Anything still held when the month ends is either kept, if it still qualifies, or sold and replaced. Instructions arrive by phone each evening; trades are placed the next morning.

How it has performed

Tested over 13 months, April 2025 to April 2026, before costs:

	This strategy	NIFTY 50	F&O median
Total return	+31.8%	+6.4%	+8.1%
Worst month	-8.0%	-10.2%	-10.3%
Positive months	8 of 13	—	—

After realistic brokerage and slippage the return is closer to 23%.

What could go wrong — please read this part

Thirteen months is a short record. Statistically it is not enough to prove the approach works rather than having been lucky; a fair test needs several years. Treat the numbers above as encouraging, not established.

The strategy deliberately buys stocks that move a lot, so month-to-month swings are larger than a broad index. The worst month tested was -8%, and a worse one is entirely possible.

The 5% stop-loss is not a guarantee. If a stock falls sharply overnight it can open below that level and the sale happens lower. In testing, about one stop in seven was hit this way.

Returns depend on a small number of large winners. In the period tested, two trades produced a meaningful share of the total. Miss those and the result changes materially.

This is a personal, self-managed strategy. It is not a regulated product, it is not advice, and past performance is not a reliable indicator of future results. Capital is at risk.